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Lockheed Order Book Reaches $100 Billion

Defense company boosts its full-year profit outlook as new orders hit milestone

By Doug Cameron

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The F-35 is central to Lockheed's growth and is already delivering almost a quarter of the company's sales. PASCAL ROSSIGNOL/REUTERS

Lockheed Martin Corp. LMT **-0.36%** ▼ said Tuesday that its order book had grown to more than $100 billion as it sold more F-35 combat jets and boosted sales of its helicopters and missile defense systems to foreign governments.

The milestone provides the world's largest defense company by sales with more stability amid lingering uncertainty over the path of U.S. military spending and potential disruptions to deals in the Middle East.

Defense companies typically face a lag of between a year and 18 months between securing orders and booking their sales and profits. Lockheed by far has the industry's largest order book, even as it chases more deals such as a new training jet for the U.S. Air Force and an $80 billion refresh of the country's nuclear missiles.

Marillyn Hewson, Lockheed's chief executive, said she remained confident the U.S. would continue to boost military spending. The company is targeting near-term annual sales growth of between 3% and 5%.

U.S. lawmakers are still wrangling over the fiscal 2018 Pentagon budget, and President Donald Trump has yet to detail longer-term plans pending a military strategy review. That is likely to leave spending pegged at prior-year levels for several months under a temporary budget deal.

Lockheed reported forecast-beating quarterly profits on Tuesday and boosted its outlook for sales and earnings this year.

The F-35 jet is central to Lockheed's growth and already delivers almost a quarter of its sales. Annual production is expected to rise from 66 planes in 2017 to around 150 in the next several years. Profits from the program continue to rise despite the Trump administration's contentious effort to slim the Pentagon's most expensive weapons program.

Sales in Lockheed's aeronautics business, which includes the F-35, rose almost 20% in the second quarter compared with a year earlier. Lockheed last month secured a $5.6 billion deal to support production of the next batch of jets and is eyeing a follow-on sale of as many as 450 planes that would potentially be the largest single arms deal in history.

International sales already account for 27% of total revenue, and Chief Financial Officer Bruce Tanner said they were running ahead of plan. He said Lockheed may this year book a portion of the $28 billion in potential sales to Saudi Arabia announced when Mr. Trump visited the kingdom in May.

Some U.S. lawmakers have called for new arms sales to the region to be frozen pending a resolution of the diplomatic dispute between Qatar and its neighbors.

Lockheed boosted its per-share earnings forecast by 15 cents to between $12.30 and $12.60 and raised expectations for sales to a range of $49.8 billion and $51 billion, though it left its free cash flow guidance unchanged.

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Doug Cameron formerly covered the global aerospace and defense industry as well as the airline sector in The Wall Street Journal's Chicago bureau.

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